

TST Risk Framework

The complete guide to protecting your account before you place a single trade.

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Before you risk a single dollar, you need a framework that protects you from the mistakes that blow up most new traders. Risk management is not optional — it is the difference between staying in the game long enough to get good and going to zero before you learn anything.

RULE 1

The 1% Rule

Never risk more than 1% of your total account on a single trade. On a \$10,000 account, your maximum loss per trade is \$100. This is not a suggestion — it is the rule that keeps you alive long enough to become consistently profitable.

RULE 2

Daily Max Loss

Set a daily maximum loss of 3% of your account. The moment you hit it, stop trading for the day. A bad day becomes a catastrophe when you keep trading to get it back. Walk away. Reset. Come back tomorrow.

RULE 3

Stop Placement

Your stop loss defines when you are wrong. Place it at a level that invalidates your thesis — below support for longs, above resistance for shorts. Never move your stop further from your entry to avoid a loss. That is not risk management, that is hoping.

RULE 4

Position Correlation

If you are long NVDA, AMD, and TSMC simultaneously, you are not in three trades — you are in one large bet on semiconductors. Correlated positions multiply your real risk. Treat them as one combined position when calculating total exposure.

POSITION SIZING FORMULA

$$\text{Shares} = (\text{Account} \times \text{Risk } \%) \div (\text{Entry} - \text{Stop})$$

Example: \$10,000 account · 1% risk · Entry \$50 · Stop \$48 = 50 shares maximum

KEY REMINDERS

- Calculate your position size before you enter. Not after.
- A loss is only a problem if it is bigger than planned.
- Consistency in risk management compounds over time.
- The goal is not to win every trade. The goal is to stay in the game.
- Paper trading counts — practice your risk management before going live.

This guide covers foundational risk principles. The full TST Academy course goes deeper into position sizing, scaling, and managing live risk in real time.